and Japan, there was what Chairman Bernanke referred to as a global savings glut.

Clearly, the net financial savings generated in one part of the world have to be absorbed by deficits elsewhere. Industrial country corporations initially absorbed these savings by expanding investment, especially in information technology. But this proved unsustainable, and investment was cut back sharply following the collapse of the Information Technology bubble.

Extremely accommodative monetary policy by the world's central banks, led by the Federal Reserve, ensured the world did not suffer a deep recession. Instead, the low interest rates in a number of countries ignited demand in interest-sensitive sectors such as automobiles and housing. House prices started rising as did housing investment.

The United States was not by any means the highest in terms of price growth. Housing prices reached higher values relative to rent or incomes in Ireland, Spain, the Netherlands, the United Kingdom, and New Zealand, for example. Then, why did the crisis first manifest itself in the United States? Probably because the U.S. went further on financial innovation, thus drawing more marginal-credit-quality buyers into the market!

A home mortgage loan is very hard for an international investor to hold directly because it requires servicing, is of uncertain credit quality, and has a high propensity to default. Securitization dealt with some of these concerns. If the mortgage was packaged together with mortgages from other areas, diversification would reduce the risk. Furthermore, the riskiest claims against the package could be sold to those who had the capacity to evaluate them and had an appetite for bearing the risk, while the safest AAA-rated portions could be held by international investors.